

came. But the final outcome of the strategy, as the *Times* piece explained, was almost preordained: “Their empires of [numbers] hype can be undone very quickly by market discipline.”

Much of this merger activity has reached the level of absurdity. Michael Kinsley, writing in the *New York Times* in May 2007, notes that in 1946, Warren Avis had an idea. He founded Avis Airlines Rent-a-Car. Two years later Avis sold the company to another businessman, who sold it to a company called Amoskeag, which sold it to Lazard Freres, which sold it to giant conglomerate ITT Corporation (all this by 1965!). All told, Avis has gone through some 18 different ownerships, and each time, Kinsley notes, “there have been fees for bankers and fees for lawyers, bonuses for top executives [to pay them off for the past or to sign them on for the future], and theories about why this was exactly what the company needed.”

Since then (it’s a long story), Avis has been publicly held again, then conglomerate-owned again (Norton Simon, Esmark, Beatrice Foods); then sold to Wesray Capital, which sold half of the business to PHH Group, with the remainder sold to Avis employees, who sold it to a firm called HFS Corporation, which took it public, after which Avis bought, yes, PHH; the combined company was then bought by Cendant. Whew!

Kinsley sums it up well: “Modern capitalism has two parts: there’s business, and there’s finance. Business is renting you a car at the airport. Finance is something else.” What we call business today is largely about finance. (Shades of Minsky, whom we met earlier.) I venture to suggest that the financiers who played all those trading games with Warren Avis’s creation took far more money out of the business than the money that trickled down through that complex maze of transactions to the shareholders—who are, of course, the owners of the business.

“Rock, Scissors, Paper”